ECONOMIC SURVEYS BY THE OECD

GREECE

APRIL 1962

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

BASIC STATISTICS

THE LAND

Area (1,000 sq. km.)	130.9
Cultivated area	36.5

Major cities (census of 1961):	
Greater Athens (including Piraeus)	1,853,000 inh.
Salonika	374,000 —

THE PEOPLE

Population (census of 1961)	8,389,000
No. of inhabitants per sq. km.	64
Natural increase in population per 1,000 inhabs (annual average 1955-60)	12

Labour force total (1960)	4,160,000
Agricultural labour force as a percentage of the total	49 %
Emigration of labour (annual average 1955-60)	17,200

PRODUCTION

Gross National Product in 1960 (billions of drachmas)	95.8
G.N.P. per head (U.S. $)	380
Gross fixed investment (av. 1958-60):	
— Per cent of G.N.P.	22 %
— Per head (U.S. $)	80

Origin of G.D.P. at factor cost in 1959-60:	
— Agriculture	29 %
— Industry	27 %
— Services	44 %
Home food production as percentage of total food availability (av. 1953-58)	93 %

THE GOVERNMENT

Public current expenditure on goods and services in 1960 (percentage of G.N.P.)	13 %
General Government current revenue in 1960 (percentage of G.N.P.)	21 %
Public gross fixed investment in 1960 (percentage of G.N.P.)	6,2 %

Composition of Parliament:	
Radical National Union	176 seats
Center Union	78 —
Unified Democratic Left	24 —
Others	22 —

Last election: 1961 Next election: 1965

LIVING STANDARDS

Calories per head, per day (1957-60)	2,900
Percentage of expenditure on food in private consumption	45 %
Steel consumption per head (1960)	52 kg

No. of passenger cars in use per 1,000 inhabs.	5
No. of telephones per 1,000 inhabs.	20
No. of radio sets per 1,000 inhabs.	70

FOREIGN TRADE

EXPORTS

Exports of goods and service as a percentage of the G.N.P. (average 1958-60)	12 %
Main exports as a percentage of total exports (average 1958-60):	
Tobacco	36 %
Currants	14 %
Cotton	11 %
Mining products	7 %

IMPORTS

Imports of goods and services as a percentage of the G.N.P. (average 1958-60)	23 %
Main imports as a percentage of total imports (average 1958-60):	
Machinery	14 %
Textiles and clothing	10 %
Petroleum products	9 %
Chemicals and fertilisers	10 %

THE CURRENCY

Monetary unit: drachma

Currency unit per U.S. $: 30

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PUBLISHED BY
THE ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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GREECE

1. In the past decade the Greek economy has made swift and most encouraging progress, but much still remains to be done to bring it up to the level of development attained in the more highly industrialised countries of Europe. Annual income per head (at factor cost) is at present about $320 in Greece, whereas it is over $1,000 in the industrialised countries. The Greek economy was particularly hard hit by the two world wars - the first prolonged by external conflicts and the second by a guerilla war lasting until 1950. Furthermore, geographical conditions, which limit the area of arable land and hamper internal communications, complicate the tasks of economic development. Despite these difficulties, the foundations have been laid in recent years for a radical change in structure and a rapid expansion of the economy. The currency reform and the recovery of internal savings, the extension of public investment, the establishment of new industries, the preparation of a Five-Year Plan and the signing of a treaty of association with the countries of the European Economic Community all make for more satisfactory economic growth. Nevertheless, great efforts will still have to be made before the goals set up by the Greek authorities - the elimination of under-employment, the raising of the standard of living and the establishment of a lasting external equilibrium - can be achieved.

I. BASIC DATA ON THE GREEK ECONOMY*

2. The Greek population is currently growing at an average annual rate of only 0.9 per cent; the favourable effects of one of the lowest death rates in Europe (7.2 per thousand) are offset by a moderate birthrate and considerable emigration. Although population pressure does not appear excessive, unemployment is relatively widespread in the towns, while there is considerable under-employment in the rural areas. Out of a potential

* See the basic statistics on the cover page.

labour force estimated at over 4 million (nearly half the total population), there are 150,000 to 200,000 unemployed in the non-agricultural sectors (8 to 10 per cent of the active population in those sectors), and it is generally estimated that 500,000 active persons (25 per cent of agricultural man-power) could be transferred from agriculture to other sectors without any lowering of agricultural production. The situation is gradually improving: intensive cultivation has been substituted for wheat-growing, the productivity of labour has risen, and the migration from country to town has assumed significant proportions over the last ten years. The population leaving the country, however, makes mainly for the Athens region, whose population has increased by 33 per cent in ten years, while that of the rest of Greece has risen only by 4.2 per cent; this development has given rise to a new form of population imbalance. Furthermore, emigration, which absorbs 25 to 30 per cent of the natural population increase, was higher in 1960 and 1961.

3. Agriculture continues to play a leading part in the country's economy. It accounts for about one-third of the national income, provides employment for over half the population, and supplies about four-fifths of the country's total exports. The density of the rural population is very high - some 130 per square kilometre of cultivated land (compared to 90 in Italy and about 50 in France and Germany). Yields per hectare, although gradually rising, are still comparatively low for some main crops (the 1953-1957 average of 13 quintals for wheat, for example, compares with 21.4 quintals for the E.E.C. Member countries). Land under cultivation represents only a little over one quarter of the total area of the country, and there seem to be very limited possibilities of extending the cultivated area as mountain and forest cover more than 80 per cent of the country. Yet another unfavourable feature is the dryness of the ground, but since this is due to the irregularity rather than to any overall insufficiency of the natural rainfall there are real possibilities of improving the situation. Large-scale irrigation projects have been carried out in the last few years, although so far only about 12 per cent of the cultivated area can benefit from this work. The difficulties of agricultural development arising mainly from natural conditions are aggravated by the predominance of very small farms and their excessive fragmentation. Nearly 90 per cent of farms (the vast majority being worked by the owner) accounting for half the cultivated land, occupy an area of less than 5 hectares, and on average, each farm is split up into more than six separate lots.

4. Half the total cultivated area is given over to cereal production. The other annual crops occupy roughly a further 30 per cent; of these cotton and tobacco are by far the most important, owing to their contribution to export earnings and the fact that they provide a livelihood for more than 300,000 families, although in fact they occupy only 5 and 4 per cent respectively of the cultivated area. Of the non-annual crops olives and vines predominate, occupying 10 and 6 per cent of the area under

cultivation. Crop-growing accounts for over 70 per cent of total agricultural production, livestock products about 25 per cent, forest products and fishing for the remaining 5 per cent.

5. Domestic production is sufficient for the country's needs in the case of most crops, but not in livestock products ; the gap is widest in the case of wool and meat, in spite of the low domestic consumption of the latter (20 kg. per head per year against some 50 kg. on average in Western Europe). Output of fishery and forest products also falls short of domestic requirements. However, the country's international trade in agricultural products shows an export surplus, mainly due to substantial exports of tobacco, raisins and cotton, which, between them, account for 85 per cent of the total: exports of citrus and other fresh fruits are also important.

6. Mining production, including quarrying, accounts for only about 1.5 per cent of the national income, and provides employment for barely 25,000 people. Although the country has not yet been fully covered by geological surveys, the variety of different mineral deposits being worked is already very wide ; in only a few cases, however, is the current scale of working particularly intensive. The country is short of high-grade coal, but has rich lignite deposits, which provide employment for nearly 7,000 people. Annual production now stands at nearly 1.5 million tons, and is mainly used to supply electric power stations. Some oil prospecting is currently being undertaken. Non-ferrous metals form the main mineral wealth of Greece, but working the deposits in the remoter regions presents difficulties with regard to transport, and for many of the products regular markets are by no means assured. Bauxite production at present almost exclusively for export, represents the largest item, amounting to nearly one million tons. Greece also has considerable hydro-electric power potential ; already about one-third of the country's supply of electricity is generated by hydro-electric stations. Total production amounted to nearly 2,200 million kWh in 1960, corresponding to about 260 kWh per head of the population, compared with an average of about 1,600 kWh for the E.E.C. countries.

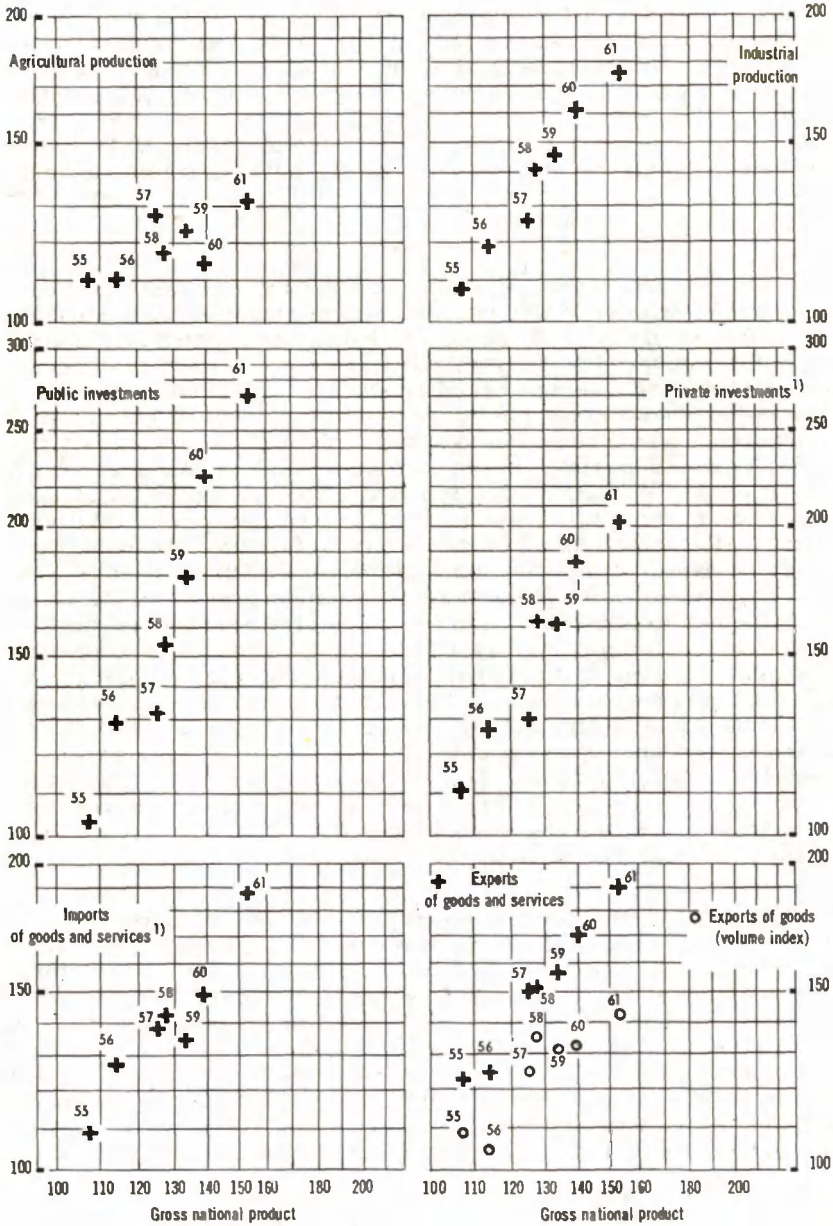
7. Manufacturing production represents about 20 per cent of the net national product at factor cost. The bulk of this production is concentrated in a few sectors ; textiles and clothing (25 per cent of value added); food industry (about 22 per cent) ; chemical industry* (14 per cent), and mechanical engineering (11 per cent). The output of capital goods is negligible, and the consumer goods manufactured are almost exclusively for the needs of the home market, the chief exception being some exports of textiles and military equipment. The home market is, moreover, usually protected by relatively high customs

* Oil-works occupy nearly two-thirds of the manpower employed in this sector.

Diagram 1

GROSS NATIONAL PRODUCT AND VARIOUS ELEMENTS OF PRODUCTION AND DEMAND

(1954 = 100 at constant prices)



1) Excluding shipping.

Source : Greek National Accounts 1948-1960.

duties (especially for textiles), and imports of products which are already made in Greece are, as a general rule comparatively unimportant.

8. The outstanding features of manufacturing industry are the very slight degree of vertical or horizontal integration of firms, the predominance of small undertakings, and the heavy concentration in the Athens region. The following figures taken from the 1958 census of industrial establishments give a more precise picture of the structure of manufacturing:

a) Only 0.7 per cent of the establishments classified in this sector* (749 out of 109,793) employed at the end of 1958, more than 50 employees or operatives (compared with 2.3 per cent in France in the same year), and only 27 per cent of the persons employed in manufacturing (120,287 out of 441,092) worked in establishments of more than 50 persons (in France the proportion was 64 per cent in 1954);

b) 85.6 per cent of the establishments covered by the census (about 105,000) were individually owned, 9.5 per cent were partnerships and joint stock companies represented only 0.4 per cent;

c) The number of wage-earners in manufacturing amounted to barely 70 per cent of the total population active in this sector; the rest were employers and their family helpers;

d) 48 per cent of wage-earners were employed in the Athens regions, where 56 per cent of the establishments employing over 50 persons were located.

9. Services represent a very large fraction of the net national product (over 40 per cent), the most highly developed sectors being trade (12 per cent), transport and communications (8 per cent) and housing (nearly 7 per cent). It is estimated that over a million people are engaged in the provision of services. The 1958 census, however, which was confined to industrial and commercial establishments, gave a figure of only 465,000 persons working in this branch of activity. Civil servants and members of the professions no doubt represent a large proportion of the producers of services not covered by the census, but these probably also include a large number of itinerant vendors and persons engaged in other relatively unproductive activities. This type of under-employment will tend to decrease as more organised and profitable forms of services, e.g. transport and tourism, are developed. More than half of the 465,000 persons shown in the census under "services" are engaged in commercial activities; these also appear to be heavily concentrated in the Athens region which provides 30 per cent of total employment in retail trade and 50 per cent of that in wholesale trade.

* No account is taken in paragraph 8 of handicrafts (work carried out in the home), which, according to the same census, provided employment in 1958 for nearly 70,000 persons.

Table 1. STRUCTURAL FEATURES OF GREEK INDUSTRY
AS SHOWN IN THE CENSUS OF 15th NOVEMBER 1958

	ACTIVE PERSONS				NUMBER OF ESTABLISHMENTS		NUMBER OF PERSONS PER ESTABLISHMENT	
	TOTAL		OF WHICH WAGE-EARNERS					
	GREECE	ATHENS REGION AS %	GREECE	ATHENS REGION AS %	GREECE	ATHENS REGION AS %	GREECE	ATHENS REGION
Mining and quarrying	20,372	13	19,076	..	1,348	12	15.1	15.4
Manufacturing industries (including electricity and gas)	450,375	41	310,131	49	109,793	23	4.1	7.2
of which:								
Food industries	60,982	28	38,306	36	16,366	12	3.7	8.9
Tobacco	14,457	40	14,125	41	292	10	49.5	207.5
Clothing (including shoe-making and repairs)	74,974	38	35,256	50	32,819	26	2.3	3.3
Textiles	56,658	52	50,246	53	3,570	41	15.9	20.0
Wood-working and furniture	48,702	36	27,316	46	16,734	23	2.9	4.6
Oil works	30,012	2	22,131	3	7,267	0.5	4.1	17.5
Other chemical industries	12,996	76	11,124	85	688	47	18.9	30.5
Metal-working (excluding machinery and transport equipment)	34,007	48	18,779	68	11,935	22	2.8	6.2
Machinery and equipment (excluding transport equipment)	19,650	58	15,032	61	3,466	48	5.7	6.8
Transport equipment (including repairs to vehicles)	23,718	53	17,313	62	4,841	28	4.9	9.2
Electricity	8,698	47	8.525	48	547	8	15.9	89.1
Handicrafts	67,824	3	15,000	..	46,295	3	1.5	1.7
Building and public works	57,321	29	49,850	30	10,117	30	5.7	5.4
TOTAL Industry	595,892	35	394,059	..	176,553	17	3.4	6.9

Source : National Office of Statistics, Census of Industrial and Commercial Establishments.

II. GROWTH OF THE GREEK ECONOMY FROM 1954-55 TO 1959-60

10. From 1948, the first post-war year for which national accounts data are available, to 1960, the gross national product at constant prices rose by an average of 6.6 per cent per year. But the significance of this figure is reduced by the fact that during the early part of the period Greek economic growth was taking place in quite abnormal conditions. Production was still very low in 1948, and did not regain the pre-war level until 1951. Internal peace had not yet been established. There was more or less uncontrolled inflation, and foreign aid had assumed massive proportions. A severely restrictive policy therefore had to be applied in 1952, involving a cut in production. The 1953 devaluation ushered in a new and more soundly based expansion. Prices still suffered from the effects of the devaluation in 1954, but gradually settled down; and the balance of payments showed a distinct improvement. The progressive stabilisation was achieved in a climate of continued expansion, which remained vigorous throughout the whole period.

A. *Trend of national production*

11. From 1954-55 to 1959-60 the gross national product at constant prices increased at an average rate of 5.7 per cent per year.* These six years fall into two periods. Up to 1957 agricultural production made particularly rapid progress, and the average annual rate of growth of the national product was very high (7.1 per cent from 1954-55 to 1957-58). In the following years, agricultural production was stagnant, and this affected the progress of the gross national product as a whole (3.6 per cent on average from 1957-58 to 1959-60). One development was a fairly marked change in the pattern of production, with a distinct decline in the share of agriculture. Furthermore, since 1954 there have been notable developments in the country's economic infrastructure, a substantial strengthening of internal savings and a progressive reorganisation of public finance.

Agriculture

12. Until 1957, agricultural output expanded as rapidly as the national income. As the cultivated area had scarcely increased and employment had probably remained at the same level, the growth of output was mainly due to a substantial increase in yields as a result of the more rational use of resources and the

* Olive oil production follows a two-year cycle in Greece, and this affects not only agricultural production as a whole, but industrial production (oil works) as well. As a result, the national product tends to be higher in odd years than in even. To eliminate at least one of the independent factors it seems preferable to follow production by two-year periods.

increasingly wide-spread use of fertilizers and machinery. Although the effort in this field was continued in the following years (the volume of fertilizer used rose from 400,000 tons in 1955 to over 700,000 in 1960, and the number of tractors in service from 8,000 to about 20,000) average total production in the agricultural sector in 1959 and 1960 was, for the first time, below the average for the two previous years, although only by 1 per cent. There was quite a large drop in crop production (- 6 per cent), but this was almost entirely offset by a substantial increase (+ 12 per cent) in animal production. The decline was largely due to bad weather conditions, but in view of the pattern of production, one of the chief obstacles to steady growth seems to have been inelastic demand, both on the home market and abroad.

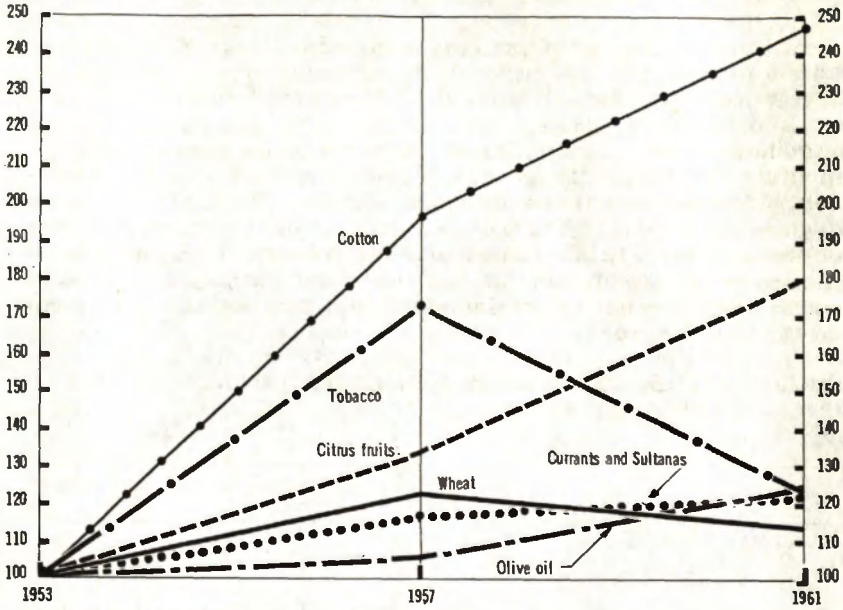
Table 2. TREND AND DISTRIBUTION OF THE GROSS DOMESTIC PRODUCT

	1951-52	1953-54	1955-56	1957-58	1959-60
A. TREND (Index 1951-52=100)					
1. At 1954 prices	100	115	130	147	158
2. At current prices ..	100	147	192	225	245
3. Implicit price index	100	128	148	153	155
B. DISTRIBUTION (in %)					
1. At 1954 prices:					
Agriculture	33.7	35.3	34.0	33.7	30.4
Industry	21.4	23.0	24.9	25.8	27.8
of which:					
Manufacturing industry	(16.5)	(17.4)	(18.3)	(18.6)	(19.3)
Services	44.9	41.7	41.1	40.5	41.8
Total	100	100	100	100	100
2. At current prices:					
Agriculture	34.4	35.5	34.0	33.2	29.1
Industry	22.2	23.2	24.4	25.3	27.1
of which:					
Manufacturing industry	(17.3)	(17.5)	(18.0)	(18.4)	(19.2)
Services	43.4	41.3	41.6	41.5	43.8
Total	100	100	100	100	100

Source : Greek National Accounts 1948-1960.

Diagram 2

EVOLUTION OF THE PRODUCTION OF PRINCIPAL AGRICULTURAL PRODUCTS



Source : Ministry of Agriculture.

13. Wheat is a typical example. The wheat crop, under one million tons up to 1952, exceeded 1,700,000 tons in 1957 ; the needs of the home market were then covered and further expansion of output would have been undesirable since the high costs of production ruled out exports on any scale. In the case of tobacco, the insufficiency of external demand was clearly shown in 1955-57 when exceptionally good crops led to an excessive accumulation of the stocks held by the State. The areas growing these two products were therefore reduced and production cut. Cotton-growing, which made a considerable advance in 1955, showed some hesitation in 1956-1959. Marketing difficulties and their effects on prices affected farm incomes even more than changes in the volume of production. Output of the agricultural sector in 1959 and 1960, at current prices, showed an average decline of nearly 5 per cent compared with the two previous years, and exceeded the 1955-56 level by only 9 per cent, whereas the national income at current prices rose by 28 per cent over the same period.

14. To cope with these difficulties, the authorities have been trying for some years to carry out a radical reorganisation of crop schedules in the light of the trend of internal demand and export prospects. There are plans for a substantial increase in cotton-growing on irrigated land and an appreciable extension of animal husbandry, while wheat production is to be maintained at its present level with higher yields making up for the reduction in the area sown. The measures taken since 1959 for this

purpose mainly consist of granting subsidies to farmers growing cotton and fodder crops, the provision of generous credit facilities for the sections where expansion is being encouraged and a considerable increase in investment, especially for irrigation schemes. It should also be noted that the new tariff applied in 1960 raises most of the duties levied on livestock products. On the other hand, imports are not subject to any quantitative restrictions, except in the case of wheat, which is handled by a State monopoly. In addition, the State intervenes regularly to support the incomes of certain categories of producers, either by fixing floor prices (raisins), or by quaranteeing the purchase of specific quantities at fixed prices (tobacco, olive oil). It also determines the maximum areas to be devoted to tobacco-growing each year. The authorities have extended their activities to certain other fields during the period under discussion: cf. the reorganisation of the services provided by the Ministry of Agriculture, improved marketing of products, development of agronomic research and technical assistance, etc.

Manufacturing industry

15. Output in manufacturing industry (excluding electricity) stimulated by the rapid growth of demand has risen at an annual rate of 6.7 per cent since 1955, with no marked fluctuations except for an appreciable slowing down in 1959. The low level of agricultural production in 1960 has no secondary effects on industrial activity. The mechanical engineering industries and basic metallurgy showed the biggest expansion, together with the chemical industry, but since these branches account as yet for a relatively small proportion of the total, the pattern of industrial production scarcely changed during the period in question. However with such important plants as the oil refinery and the shipyards now in operation a radical transformation of that pattern has begun. Although no accurate overall data are available on the trend of employment, it appears to have risen very little during the period, so that the progress of production mainly reflects a marked improvement in productivity in existing undertakings. The improvement is largely attributable to the modernisation and equipment drive, which was particularly stimulated by American aid in the early years of post-war reconstruction. The expansion of industrial activity was, moreover, facilitated by the substantial increase in bank credit. Current credits to industry in fact represented in 1960 63 per cent of the gross value added of industrial production, compared with 38 per cent in 1955. It should be borne in mind, however, that private investment in industry tended to decline in 1959 and 1960.

16. In addition to making arrangements for the financing of major infrastructure projects the authorities took a series of other measures in the 1954-1960 period with the aim of

accelerating the pace of industrialisation; the most important are the following:

a) The new tariff gave greater protection to industry, while the duties on imported raw materials and capital goods were on the whole reduced; in fact in many cases special laws provided for the duty-free importation of the latter;

b) The maximum depreciation rates were repeatedly raised, and tax concessions of all kinds were granted. In particular, since 1960, undertakings carrying out productive investment have been authorised to deduct all expenditure on such investment from their taxable profits, up to a limit of 50 per cent of total profits;

c) In 1960 an Office of Industrial Development was set up - a semi-public body to advise and support private enterprise and, where necessary, to take its place temporarily (action by this body may take the form not only of capital contributions, but of the establishment of new undertakings or even the taking over of existing ones).

Other productive sectors

17. Between 1955 and 1960 there was a very rapid increase in mining production (lignite and bauxite production, for example, doubled in volume) and in activities directly benefiting from infrastructure investment, especially public works and electricity generating, where output increased steadily by 13 per cent per year. As a result, the share of mines, public services and construction in the national income rose to over 8 per cent in 1960, compared with 6 per cent in 1955. In the services sector, production as a whole increased at the same rate as the national income. Merchant shipping and tourism proved to be among the most dynamic sectors in the Greek economy during the period under study, and their development had a particularly marked effect on the country's external accounts.

18. The internal and external earnings of the merchant navy have nearly trebled since 1954, and represented nearly 4 per cent of the national income in 1960. This striking development was connected with the massive transfer to the Greek flag of vessels belonging to Greek ship-owners, especially in 1959 and 1960. In 1960 the country's merchant shipping amounted to nearly 5.5 million tons, compared with less than 1.3 million tons in 1954, whereas the tonnage of vessels belonging to Greek owners and flying a foreign flag had fallen to just over 8 million tons, a decline of more than 3 million tons since 1958. While this development was certainly not unconnected with the less favourable conditions granted for some years past to vessels flying flags of convenience, it was mainly due to the restoration of the country's economic and financial stability. Various concessions were also made by the authorities (tax exemption, protection and guarantees for uninvested capital) to encourage transfers of vessels. It should, however, be noted that the

earnings in Greece of the merchant navy are low by comparison with those of most other maritime countries, mainly because the head offices of many Greek-owned shipping companies have remained outside Greece. Thus, the balance-of-payments earnings per ton of shipping are only about $20 a year in Greece, compared with $50-80 for Great Britain, Norway and Italy.

19. The development of tourism in Greece has been appreciably faster than in most European countries. The number of visitors from abroad rose from some 160,000 in 1954 to nearly 400,000 in 1960. Tourist earnings (about $130 per visitor) represented about 2 per cent of the national income in 1960. Internal tourism also expanded considerably, and tourism now provides employment for some 50,000 persons, including 10,000 in hotels and catering. This rapid growth would not have been possible without large-scale improvements such as the reorganisation of the public services concerned, co-ordination of their activities with private enterprise, development of the road network, transport facilities and tourist sites, establishment of amusement centres and extension of hotel accomodation (since 1954, more than 200 hotels have been built, providing about 10,000 beds). Nearly $10 million were allotted to tourist facilities from the central budget in 1960 - nearly eight times as much as in 1955. Private investment, enjoying special credit terms, also increased steeply over this period.

B. The trend of demand

20. Internal demand in Greece regularly exceeds the total available domestic resources, and although the surplus of imports of goods and services over exports is tending to decrease, it still represents nearly 5 per cent of the gross national product.* The pattern of internal demand is changing, and in 1960 total consumption represented 87.5 per cent of the gross national product, against nearly 90 per cent in 1955.

Consumption

21. Private consumption, which increased in volume by 7.5 per cent per year on average in 1956 and 1957, grew much less rapidly from 1957 to 1960 (by about 3 per cent per year). This changing trend is due to the smallness of agricultural incomes

* The figures quoted in this section take no account of transfers of shipping to the Greek flag, which for national accounts purposes are considered as imports, and thus swell the deficit, although they give rise to no actual payment. Such transfers appear on the credit side in fixed investment, and have assumed such proportions (40 per cent of private investment in 1960, against some 5 per cent in 1955) that their entry in the accounts appreciably alters the final figures.

from 1958,* and to the measures adopted in the course of that year to discourage imports of consumer goods (motor-cars, household equipment, etc.). The rise in the standard of living was characterised by the growing proportion of consumption expenditure represented by payments for housing and miscellaneous services, and by purchases of non-food products. Expenditure on food, however, still accounted for 45 per cent of the total in 1960 (compared with 48 per cent in 1955). Current government expenditure on goods and services (12.6 per cent of total consumption in 1960) increased by an average of 4.4 per cent in volume from 1955 to 1960, but its rise was irregular, with a period of semi-stagnation in 1958 and 1959.

Table 3. TREND OF THE USE OF RESOURCES AT 1954 PRICES

	1951-1952	1953-1954	1955-1956	1957-1958	1959-1960	DISTRIBUTION AS PERCENTAGE OF G.N.P.
Trend as index 1949-1950 = 100						
Private consumption	105	119	135	153	161	76.5
Public consumption .	108	109	114	122	133	10.8
Total consumption ..	105	118	132	148	157	87.3
Fixed private investment						
Including shipping .						
Excluding shipping	114	126	(182)	(245)	(401)	(20.5)
since 1955-1956 1)	...	...	167	205	226	11.5
Fixed public investment	80	69	81	100	140	5.7
Total fixed investment (excluding shipping 1955-1956) 1)	99	107	129	158	188	17.2
National expenditure (excluding shipping since 1955-1956) 2) ..	103	113	128	146	155	104.7
G.N.P.	109	128	145	166	178	100

1) No accurate data are available on shipping transfers up to 1954, but they were of minor importance.

2) Including changes in stocks: these increased very substantially in 1949-50.

Source : Greek National Accounts 1948-1960, Greek Memorandum.

* The extension of public works in rural regions helped to support incomes in these regions.

Investment

22. Fixed investment has increased by 11 per cent per year since 1955, and represented 17 per cent of the gross national product in 1960. While private investment scarcely rose between 1958 and 1960, public investment rose by 45 per cent during that period, and in 1960 represented nearly 35 per cent of total investment. There was, at the same time, a marked change in the pattern of investment as a whole, with a comparatively large increase in expenditure on infrastructure, agriculture and tourism - three sectors which between them absorb about 50 per cent of total investment. In particular, great efforts were made to improve the road network. Housing construction still represents a relatively high proportion of gross fixed investment (30 per cent of the total) but this figure is appreciably lower than in 1955 (about 45 per cent of the total). It should be noted that over half the expenditure on housing construction was for the Athens region.* Investment in industry has remained relatively low, with a further tendency to diminish in 1959 and 1960. In fact the volume of industrial investment in 1960 was lower, in absolute figures, than the average for the period 1950-52, when American aid was very substantial.

23. There does not appear to be any close correlation between the investment made in the years 1954-1960 and the expansion of production in each sector. The very swift rise in agricultural production up to 1957 was achieved with comparatively modest investment, and was mainly due to the increased use of commodities obtained from other sectors (especially fertilizers) and to improved farming methods. On the other hand, agricultural production stagnated during the succeeding three years despite the intensification of investment. Similarly, the recent speeding up of industrial production does not seem to be directly connected with the trend of investment in industry.

C. *Money, credit and public finance*

24. For some years, Greece has experienced relatively stable prices and the credit institutions have resumed their normal role of financing the economy, thanks to the growth of the savings deposited with them. This represents a remarkable recovery compared to the situation that prevailed up to the beginning of the last decade, when prices were rising steeply, the issue of bank-notes had become the only means of financing the economy, and the gold sovereign served both as the unit of account for many transactions (especially in real estate) and as a means of settlement on the clandestine money market, where rates of interest often amounted to something like 50 per cent per year. This recovery was achieved thanks to the severe

* Housing requirements are still high in Greece, the average occupation density being 1.8 persons per room.

restrictions on credit and government spending adopted by the authorities before and after the devaluation of the drachma in 1953, which was itself accompanied by the liberalisation of imports and the continuation of large-scale foreign aid. The success of the stabilization policy and the restoration of confidence in the currency has allowed the gradual relaxation of credit policy since 1959, the substantial increase in state-financed investment, the lowering of rates of interest and the revival of the capital market.

Money and credit

25. In the first few years following the devaluation of the drachma, prices rose appreciably; from 1955 to 1957, wholesale prices rose by an average of 4.6 per cent per year, and retail prices by 3 per cent. In the years 1958-1960 prices went up much more slowly, wholesale prices at an annual average rate of only 0.5 per cent, retail prices at 1.8 per cent per year. New money was still being rapidly created, however, the value of notes in circulation increased by an average of 17.5 per cent per year from 1955 to 1960, and the total supply of money by 16.5 per cent. The latter thus represented 15 per cent of the national income in 1960 (including 9 per cent for notes in circulation), compared with 10 per cent in 1955 (including 7 per cent for notes). This development was partly due to the gradual extension of monetary settlements in agriculture (consumption on the farm as a proportion of total consumption in this sector fell to about 40 per cent in 1960), but is mainly a consequence of the restoration of confidence in the national currency; gold-hoarding ceased and old and new savings were attracted to the banking system. Total private deposits have increased fivefold since 1955; savings deposits, which were almost negligible in that year, have developed at a record rate, so that they represented in 1960 about 65 per cent of total private deposits (or nearly 12 per cent of the national income).

26. The banking system, benefiting from this appreciable increase in its resources, was able to take an increasingly large part in the financing of the economy. Private bank deposits rose faster than the current credits granted to the private sector, although these were two-and-a-half times larger in 1960 than in 1955. In 1960, the banks were able to provide 40 per cent of current credits from their own resources, compared with 25 per cent in 1955, whereas the proportion financed by the central bank declined appreciably over this period. The very marked expansion of credit, particularly since 1958 (three times as fast as the expansion of the national income) is largely explained by the progressive substitution of bank credit for financing by outside sources, with a resultant sharp drop in the interest rates charged outside the banks, which new range from 12 to 20 per cent. The increased resources of the banking system made it possible not only to finance the notable expansion of credit, but also to make available relatively large sums

Table 4. CONSOLIDATED BALANCE-SHEET OF THE MONETARY AND BANKING SYSTEM

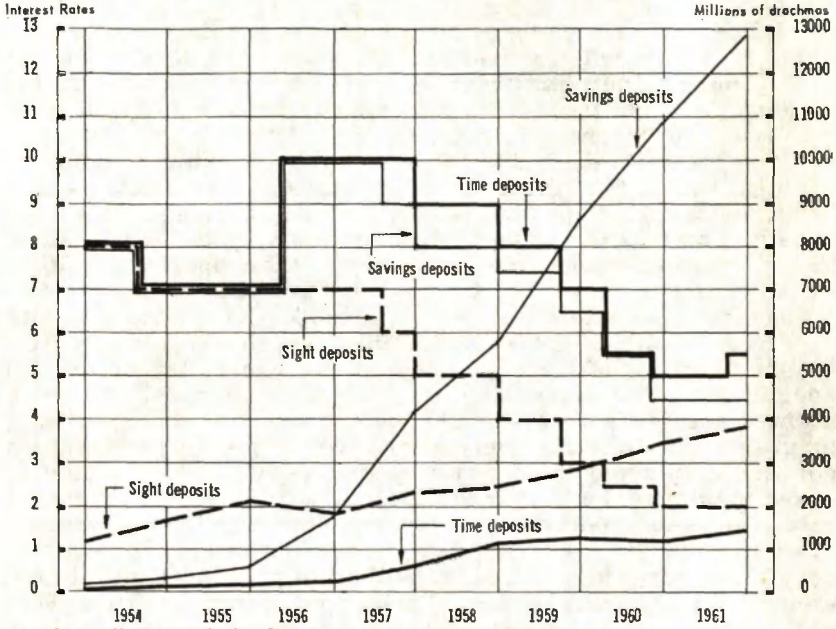
In million drachmas at end of year

	1955	1956	1957	1958	1959	1960
A. MONEY SUPPLY						
Notes in circulation	4,745	5,870	6,813	7,448	8,601	10,188
Sight deposits	2,779	2,628	3,280	3,614	4,247	5,022
Total (including coinage)	7,673	8,658	10,276	11,227	13,050	15,528
OTHER DEPOSITS						
Private deposits, (time deposits, savings deposits and frozen deposits)	1,315	2,803	5,755	8,017	11,265	13,754
Deposits by public bodies	2,284	2,626	3,275	3,615	3,799	4,246
Total deposits (excluding sight deposits)	3,599	5,429	9,030	11,632	15,064	18,000
Counterpart of American aid	8,574	8,524	4,403	4,363	4,193	4,418
OTHER ELEMENTS (net)	4,007	4,765	4,986	5,387	5,801	6,627
GRAND TOTAL	23,853	27,376	28,695	32,609	38,108	44,573
B. COUNTERPART OF MONEY SUPPLY AND DEPOSITS						
Public sector:						
Claims on the State (net)	5,878	5,933	3,784	5,024	6,918	8,695
Claims on public bodies and undertakings	448	624	911	1,294	1,552	2,448
Private sector:						
Credit to the private sector: short-term (up to one year)	6,541	8,566	11,223	12,591	13,118	14,362
medium- and long-term	4,617	5,475	6,525	8,200	9,946	12,082
Securities	257	442	471	448	501	669
Total claims on the public sector (except the State) and the private sector	11,863	15,107	19,130	22,533	25,117	29,561
Net position vis-à-vis foreign countries	6,112	6,336	5,781	5,052	6,073	6,317
GRAND TOTAL	23,853	27,376	28,695	32,609	38,108	44,573

Source: Monthly Bulletin of the Bank of Greece.

Diagram 3

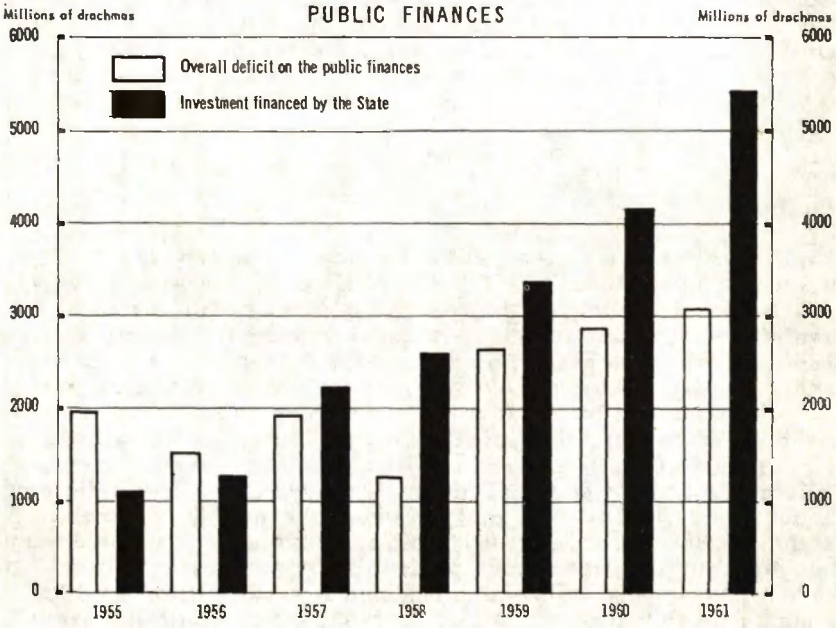
INTEREST RATES AND THE EVOLUTION OF PRIVATE DEPOSITS



Source : Monthly Bulletin of the Bank of Greece.

Diagram 4

PUBLIC FINANCES



Source : Monthly Bulletin of the Bank of Greece.

to the State from 1959 onwards in the form of subscriptions to Treasury bonds.

27. There have been three successive stages in credit policy since 1953. During the first few years after the devaluation the credit market operated under a system of strict controls, including fixed ceilings. In 1956, when price stability seemed assured, the interest rate on savings deposits was raised to 10 per cent in an attempt to attract into the banking system the savings which had previously been going into hoarding and house-building. Deposits rapidly increased, and it was then possible to relax credit controls progressively and again allow the commercial banks some autonomy in their operations. Steps were, however, taken to see that the granting of credits remained to some extent selective : a proportion of the deposits received by the banks was, for instance, blocked to provide for the financing of long- and medium-term credits, while the specialised institutions such as the Agricultural Bank were allowed special facilities by the Bank of Greece, and were able to grant loans on extremely attractive terms in the sectors concerned. In the third phase beginning in 1958, the market eased to some extent, owing to the gradual lowering of interest rates for both creditors and debtors, bringing them closer to those charged in the other European countries (e.g. 4.5 per cent for savings deposits). Despite this new development, the formation of deposits continued at a rapid rate in 1959 and 1960, while the capital market regained a certain attraction for savings. Since 1958, for example, several loans have been floated by the Electricity Supply Company, amounting to about Dr. 1,000 million in all. In addition, the State floated a loan of Dr.750 million in 1960. These loans, which proved highly successful, were issued on most attractive terms : high rates of interest (7 per cent), indexed to the official dollar rate of exchange.

Public finance

28. The reform of the public finances resulted in the first place in the elimination of the deficit on the ordinary budget, which was still comparatively large in 1955, mainly owing to the assistance granted to the earthquake victims. From 1955 to 1960, receipts increased by an average of 9 per cent per year, and expenditure by only 6 per cent, this slower rate being largely explained by the fact that earthquake relief expenditure came to an end, and that military expenditure, which represented 35 per cent of the total ordinary expenditure in 1960, increased by only 3 per cent per year during this period. The deficit of about Dr. 1,000 million in 1955 thus gave way to a surplus of some Dr.850 million in 1960. This improvement in the ordinary budget situation was accompanied by considerable growth in investment expenditure which reached Dr. 4.1 billion in 1960 - roughly three billion more than in 1955. As a result, the overall deficit was higher in 1960 than in 1955 (about Dr. 2,744 million

Table 5. PUBLIC FINANCE

Central Government

In million drachmas

	1955	1956	1957	1958	1959	1960[3]
A. ORDINARY BUDGET (Balance-sheet)[1]						
a. Expenditure	11,419	12,398	12,980	13,237	14,140	14,945
of which : Military expenditure	(3,730)	(4,640)	(4,460)	(4,439)	(4,653)	(4,790)
b. Revenue	10,389	12,306	13,179	14,283	14,799	15,793
of which : Direct taxation	(1,950)	(2,461)	(2,629)	(2,810)	(2,545)	(2,661)
Indirect taxation	(7,000)	(8,187)	(9,000)	(1,852)	(10,004)	(11,118)
c. Balance	-1,030	- 92	+ 199	+1,046	+ 659	+ 848
B. INVESTMENT BUDGET						
a. Expenditure	1,100	1,293	2,209	2,600	3,396	4,122
b. Revenue	90	219	166	206	427	530
c. Balance	-1,010	-1,074	-2,043	-2,394	-2,969	-3,592
C. OVERALL BUDGET DEFICIT	-2,040	-1,166	-1,844	-1,348	-2,310	-2,744
D. ADMINISTRATION OF THE CONSUMER GOODS ACCOUNT (Net result)[2]	+ 81	- 342	- 78	+ 78	- 334	- 150
E. OVERALL RESULT OF THE ADMINISTRATION OF GOVERNMENT FINANCES	-1,969	-1,508	-1,922	-1,270	-2,644	-2,894
F. COVERAGE OF DEFICIT						
Internal loans	...	- 49	289	815	1,026	1,356
Foreign capital (grants and loans)	1,640	1,418	1,561	688	1,428	1,538
Advances by the Bank of Greece and changes in Treasury availabilities	...	139	72	- 233	190	-
TOTAL		1,508	1,922	1,270	2,644	2,894

1) Including expenditure for account of N.A.T.O. and the equivalent revenue from that body. The expenditure concerned amounts to about Dr.400 to 500 million per year.

2) This extra-budgetary account mainly consists of various subsidies. The net result shown in the table is calculated having regard to the sums transferred from the ordinary budget to this account.

3) Provisional figures.

Source: Bank of Greece, monthly bulletin and "The Greek Economy in 1960".

instead of 2,040 million), but the arrangements for financing this deficit have distinctly improved; this is another field in which there has been a notable reform. Up to 1957, the State had practically no means of covering the deficit other than Central Bank lending and foreign aid. In 1958-60, however, the State was able to cover a large fraction of the overall deficit (about 47 per cent) by having direct recourse to internal savings, either by selling Treasury bonds to the banks or by issuing a long-term loan.

29. The Greek fiscal system is mainly based on indirect taxation; this form of collection has become progressively more important in the last few years and now accounts for 80 per cent of total fiscal revenue. The fiscal reform of 1959 introduced the system of a single tax on income, with exemptions not only for farmers, but also for small property owners and craftsmen. Since then, the tax rates have been lowered for small and medium incomes, basic allowances have been extended, wage-earners have been granted special reductions, and very substantial tax concessions have been accorded to firms in order to stimulate investment. With all these measures, and despite the fact that tax evasion, which is thought to be widespread in Greece, is tending to diminish, the yield of direct taxation has increased by only 6 per cent per year - less rapidly than the national income. On the other hand, the rates of indirect taxation, especially on consumer goods, have been increased, and special taxes have also been levied on certain luxury products and services. As a result, the yield from indirect taxation increased by about 9 per cent per year over the five years considered.

D. International economic relations

30. Exports have not played a vital part in Greece's economic development. The devaluation of the drachma certainly led to a considerable increase in sales abroad, but the trend quickly slowed down, and in 1960 the value of exports was barely higher than in 1955. Imports, which were almost completely freed in 1953, expanded vigorously up to 1958; they suffered a setback in 1959, but were back at the 1957-58 level in 1960. The trade deficit consequently rose substantially from 1955 to 1957, and in 1960 amounted to $310 million as against $175 million in 1955. The rapid progress of invisible earnings appreciably mitigated the effects of this development on the current balance of payments. The deficit in the latter, which averaged about $100 million a year in the period 1958-60, was thus kept down to a figure not exceeding that for the previous three years. Moreover, during the period 1955-60, the net inflow of foreign capital increased sufficiently for the country's official reserves to rise by about $40 million, despite the reduction in foreign aid, and reach $220 million in 1960 (roughly the value of five months' imports in that year).

Foreign trade

31. The marked inelasticity of Greek exports in the face of income variations in the buying countries is mainly due to their present structure and to adverse supply conditions. Sales to the convertible currency countries of the few agricultural products which make up the bulk of Greek exports (tobacco, raisins, cotton, citrus fruit) were seriously hampered by keener competition from other countries, in the case of cotton and citrus fruit for example, or by the saturation of markets for various reasons. In the case of tobacco, sales difficulties seem to be associated with the special trading arrangements for this product, such as the State monopolies in certain countries, and with the restrictive attitude of certain buyers, which is partly explained by changes in the tastes of consumers turning to other varieties of tobacco. Moreover, the average export prices received have shown a falling trend since 1957. The Greek authorities have refrained from subsidising exports - except indirectly, in the case of cotton, by subsidising production - while in certain instances the guaranteed purchase prices fixed in the country are higher than world prices.

32. The fact that imports were no higher in value* in 1960 than in 1957 (after a sharp drop in 1959) is partly explained by the decrease in prices of imported goods, as the volume of imports increased during that period. Several other factors also seem to have influenced the trend of the value of imports in the same direction:

1) The slowing down of expansion;
2) The substitution of home-produced goods for imported goods, which is obvious in the case of foodstuffs such as wheat, and petroleum products and probably also applies for some types of industrial products;
3) The restrictive measures taken in 1958 and 1959, especially the tax on consumer goods already mentioned, and the substantial increase in Customs protextion for textiles.

The pattern of imports has changed for the better in the last few years, the share of capital equipment in total imports rising from an average of 12.4 per cent for 1955 to 1957 to 18.3 per cent for the three following years.

33. The trend of foreign trade over the five years up to 1960 also showed a radical change in geographical structure, which seems to have been one of the principal causes of the export difficulties. Exports to bilateral agreement countries, which did not exceed 11 per cent of total exports in 1955, amounted to 31.4 per cent in 1960, while the proportion of imports from the same countries rose from 9 to 18 per cent. On the other hand,

* According to the statistics drawn up on the basis of payments.

Table 6. COMPOSITION AND TREND OF EXPORTS

Based on payments

In million dollars

	1954	1955	1956	1957	1958	1959	1960
A. Agricultural products	118.3	147.8	139.9	165.0	193.8	161.2	149.1
of which: tobacco	60.5	77.7	64.6	88.0	92.0	70.7	72.4
dried fruit (currants and sultanas)	24.0	28.0	27.1	31.7	34.0	29.9	27.3
cotton	10.6	22.7	28.7	14.6	23.0	26.4	19.2
olive oil and olives	13.1	8.4	4.2	11.8	10.7	6.5	11.3
fresh fruit	3.0	3.4	7.0	11.3	8.4	11.9	10.6
wines and beverages	3.6	3.4	3.6	3.7	21.2 1)	2.4	2.2
B. Industrial products	3.5	3.4	6.1	7.2	5.0	6.5	7.8
of which: cement	1.2	2.1	3.2	2.5	1.2	1.4	1.0
textiles	1.6	0.8	1.4	3.6	3.0	0.9	2.6
C. Mining products	8.4	12.5	17.6	16.0	14.9	14.4	18.0
of which: bauxite		2.6	3.5	4.1	4.5	4.6	(5.0)
D. N.A.T.O. orders	8.4	17.6	15.5	5.7	4.5	5.8	4.9
E. Miscellaneous	22.4	25.2	30.5	29.0	24.6	24.7	28.8
GRAND TOTAL based on payments	161.0	206.5	209.6	222.9	242.8	212.5	208.6
(GRAND TOTAL based on customs statistics) 2)	(152)	(183)	(190)	(220)	(232)	(204)	(203)

1) Exceptional exports to France of $ 11.4 million.

2) The customs statistics do not take account, for example, of deliveries made in Greece, even in connection with off-shore orders.

Source : Monthly bulletin of the Bank of Greece.

Table 7. COMPOSITION AND TREND OF IMPORTS

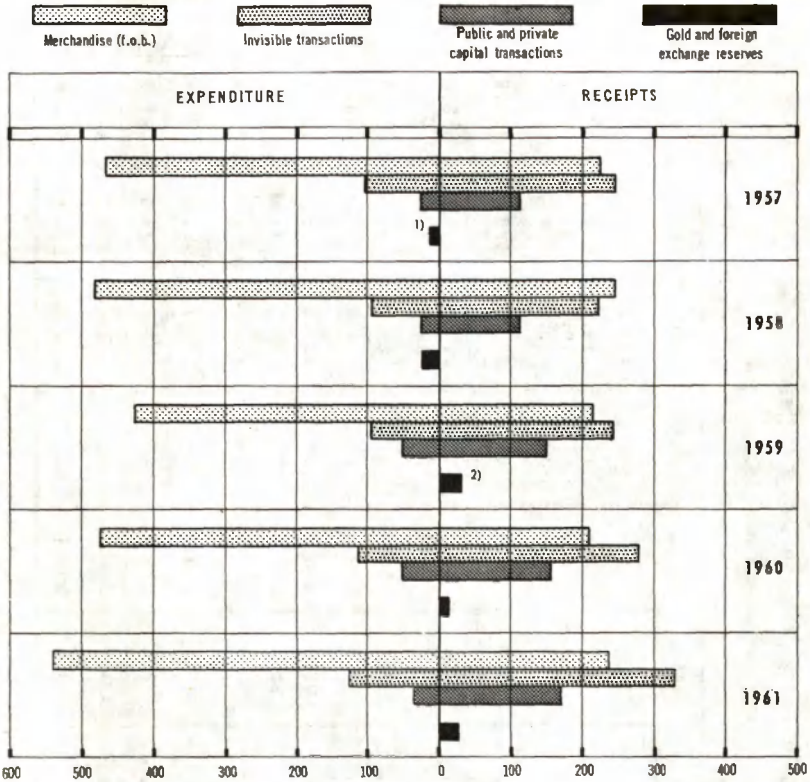
Based on Customs transactions

In million dollars

	1954	1955	1956	1957	1958	1959	1960
A. Food products and beverages	56.6	82.1	106.4	102.3	95.0	81.6	79.8
of which: meat (and live animals)	8.9	8.8	13.2	14.9	17.6	17.3	22.8
sugar	7.4	8.1	12.2	10.5	15.2	12.7	10.6
wheat	12.4	27.0	30.6	28.2	4.9	3.1	1.8
B. Raw materials (including building materials)	89.4	91.8	108.7	127.5	136.2	122.2	146.7
of which: fertilizers	16.8	10.2	10.1	13.5	18.0	18.3	15.1
wool	12.4	13.2	12.8	17.1	14.9	10.9	17.3
iron and steel	19.6	22.3	30.7	35.2	37.2	36.4	42.2
C. Fuel	45.4	52.0	53.1	66.7	61.3	51.6	52.4
of which: petroleum products	35.9	40.6	50.2	54.5	54.3	46.4	47.3
D. Industrial consumer goods	99.1	105.1	119.6	135.2	138.4	132.1	148.8
of which: textile products	26.4	24.0	29.6	33.5	33.6	27.3	28.7
E. Investment goods (machinery and transport equipment other than ships and equipment for personal use)	32.9	38.7	50.7	69.7	94.3	(85.5)	(86.4)
F. Ships (mainly transfers)	6.6	12.4	25.2	23.5	33.7	93.9	187.9
TOTAL excluding ships	323.4	369.7	438.5	501.4	525.2	473.0	514.1
TOTAL including ships	330.0	382.1	463.7	524.9	564.9	566.9	702.0

Source: Foreign trade statistics of Greece (annual publications and monthly bulletins of the National Statistics Service).

Diagram 5
BALANCE OF PAYMENTS
(Millions of U.S. dollars)



1) Fall in official gold and foreign exchange reserves.
2) Increase in reserves.
Source : Monthly Bulletin of the Bank of Greece.

Greece's trade with O.E.E.C. countries showed a considerably higher deficit, under the combined effect of the reduction in exports and the rise in imports. The Greek authorities furthermore encouraged the development of trade on a bilateral basis insofar as this helped to solve the marketing problem, first by re-establishing in 1959 global quotas for certain products from O.E.E.C. countries in order to allow some reorientation of the purchases of such products, and secondly by closely linking imports in the public sector with sales of stocks of exportable products. This policy made it possible to liquidate the tobacco stocks which had accumulated since 1955 ; on the other hand it is probable that the growth of bilateral trade had an adverse effect on the terms of trade and that exporting to the convertible currency countries was made more difficult as products sold under clearing agreements were re-exported by the purchasing countries at prices below the purchase prices.

Table 8. GEOGRAPHICAL DISTRIBUTION OF FOREIGN TRADE

Based on payments

	1955	1956	1957	1958	1959	1960
European countries in O.E.C.D.						
Imports as a percentage of the total	65	60	63	66	64	59
Exports as a percentage of the total	77	67	59	55	54	48
United States and Canada						
Imports as a percentage of the total	22	25	20	14	15	18
Exports as a percentage of the total	11	12	15	15	16	16
Eastern Countries						
Imports as a percentage of the total	4	5	7	7	10	12
Exports as a percentage of the total	4	9	12	16	16	22
Rest of the world						
Imports as a percentage of the total	9	10	10	13	11	12
Exports as a percentage of the total	8	12	14	14	14	14
Imports, total value in $ millions	352	441	475	492	455	497
Exports, total value in $ millions	207	210	223	243	213	209
Percentage of imports covered by exports	59	48	47	49	47	42

Source : Monthly bulletin of the Bank of Greece.

Invisible transactions

34. The trend of invisible earnings was more closely linked with the fluctuations in international economic conditions, as shown by the decline in such earnings in 1958. World expansion however can account for only part of the long-term progress made in this field. The increase at a rate of about 12 per cent per year since 1955 in invisible earnings (of which earnings by the merchant navy and tourism form 47 per cent of the total) is largely the result of the steps taken by the authorities to develop these two sectors. The increase in emigrants' remittances, which represent 33 per cent of the total invisible earnings, can be partly attributed to the growth of emigration. This development radically changed the pattern of the balance of current

Table 9. BALANCE OF PAYMENTS OF GREECE

In million dollars

	1950	1954	1955	1956	1957	1958	1959	1960
A. CURRENT TRANSACTIONS								
1. Imports c.i.f.	409	333	382	478	520	532	465	520
2. Exports f.o.b.	85	161	207	210	223	243	213	209
3. Trade balance	- 324	- 172	- 175	- 268	- 297	- 289	- 252	- 311
4. Invisible earnings	55	124	154	183	236	218	237	273
of which:								
5. earnings of the merchant navy	(23)	(28)	(36)	(48)	(67)	(60)	(60)	(77)
6. tourist receipts	(5)	(25)	(29)	(31)	(42)	(36)	(42)	(51)
7. emigrants' remittances	(14)	(47)	(51)	(61)	(75)	(77)	(89)	(90)
8. Invisible payments	25	30	36	39	50	48	55	65
9. Balance of invisibles	+ 30	+ 94	+ 118	+ 144	+ 186	+ 170	+ 182	+ 208
10. Balance of current transactions	- 294	- 78	- 57	- 124	- 111	- 119	- 70	- 103
B. CAPITAL TRANSACTIONS								
11. Private capital (net) including import credits	+ 5	+ 35	+ 35	+ 45	+ 65	+ 59	+ 48	+ 49
12. European loans							+ 13	+ 14
13. American aid and war reparations [1]	+ 294	+ 59	+ 77	+ 83	+ 34	+ 44	+ 56	+ 57
14. Exceptional transactions [2]							- 15	- 17
15. Errors and omissions	5	- 1	- 3	+ 1	- 2	- 1	- 5	+ 2
Balance 11 to 15	304	+ 93	+ 109	+ 129	+ 97	+ 102	+ 97	+ 105
Total 1 to 15	+ 10	+ 15	+ 52	+ 5	- 14	- 17	+ 27	+ 2
Changes in clearing accounts (+ = increase in accounting assets)	+ 1	+ 4	- 3	-	+ 1	+ 4	- 10	- 13
Changes in reserves	- 6	+ 11	+ 55	+ 4	- 11	- 17	+ 46	+ 16
(Purchases (+) or sales (-) of gold inside the country)	- 15	-	-	(- 1)	(+ 4)	(+ 4)	(+ 9)	(+ 1)
PRO MEMORY								
Gold and foreign exchange reserves at end of period	54	132	187	190	179	162	208	224
Import credits in hand at end of period	-	16	29	54	87	106	101	109

1) War reparations : $28 million in 1950 and $7 million in 1954, afterwards insignificant.

2) Greece's subscription to the I.M.F. in 1959 and purchase of a foreign electricity undertaking in 1960.

Source : Bank of Greece.

transactions. In 1960, net invisible earnings were, in fact, equal to the total value of exports, whereas in 1955, they corresponded to only a little over half. In addition, the net inflow of private foreign capital, which was negligible up to 1954, had increased considerably since that time, and amounted to nearly $80 million a year on average in 1958-60 (after deduction of import credits, of which the total rose by $80 million between 1955 and 1960). It should, however, be noted that the inflow of capital to Greece under the 1953 law, which protects direct investments of a productive nature, has remained small. Since the law came into force, this type of capital inflow has totalled about $40 million; at the end of 1960, however, applications for about $145 million of fresh investment had been approved - more than one-third of this sum being earmarked for an aluminium plant - which seems to indicate that the supply of such capital will be much larger from now on. Hitherto, the favourable trend of capital movements has been mainly due to repatriated capital, the bulk of which has been invested in housing construction.

III. THE GREEK ECONOMY IN 1961

35. The very marked rise in agricultural production was the most notable development in the Greek economy in 1961, agriculture having apparently surmounted the structural difficulties which it encountered during the previous three years. Since at the same time industrial production continued to expand rapidly, and foreign expenditure on tourism and transport greatly increased, overall domestic product in 1961 made record progress. However, these striking results were not achieved without the reappearance of certain difficulties. Imports of goods rose appreciably, and the trade deficit worsened. In addition, bank credits tended to increase faster than deposits during the first nine months of the year and some difficulty was experienced in financing the economy; these strains quickly disappeared, however.

Economic activity

36. Whereas in 1960 the growth of public investment and the increase of invisible earnings from abroad had been the main factors sustaining economic activity, in 1961 nearly all elements of demand combined to speed up the expansion. Investment in the public sector increased by about 30 per cent in volume over the previous year, while there are definite signs that private investment recovered during 1961. Public consumption increased in volume by nearly 10 per cent, and private consumption has grown much faster than in 1960, when there was nevertheless an increase of 4.5 per cent in volume. Lastly, with regard to foreign demand, there has been not only an increasingly swift expansion in invisible earnings, but for the first time in two years a marked rise in exports of goods.

37. Provisional estimates indicate that the national product at factor cost showed a rise in 1961 of about 11 per cent over the previous year. This result is all the more satisfactory as the national product had already made rapid progress in 1960 (+4.4 per cent), despite the decline in agricultural production. The fluctuations in the latter are, in fact, entirely responsible for the difference between the two rates of growth. In the other sectors (industry and services), production continued to expand at a high rate, so that the employment situation has steadily improved.

38. The volume of agricultural production was some 15 per cent higher than in 1960, when it had declined by about 6 per cent. The rise is mainly attributable to olive oil, and to cotton, sultanas, tobacco* and citrus fruit. Wheat production fell by only about 4 per cent, despite a reduction of nearly 10 per cent in the area sown. The remarkable increase in output was undoubtedly due to good weather conditions and to olive oil production, which was high in 1961; but the progress achieved also shows that the policy of crop reorientation and planned production which has been pursued for some years past, is beginning to yield results.

Table 10. AGRICULTURAL PRODUCTION

Chief products

In '000 tons

	1957	1958	1959	1960	1961
Wheat	1,720	1,790	1,770	1,670	1,600
Tobacco	110	82	76	63	75
Cotton (unginned) .	181	188	170	185	240
Currants	86	85	81	94	90
Sultanas	58	40	54	28	60
Citrus fruit	240	275	260	270	320
Olive oil	170	90	160	80	200

39. The rise in production led to a substantial improvement in farm incomes. The support prices for wheat - the only important product yielding a smaller crop - were raised in 1961** : minimum prices of Dr. 2.70 per kg., compared with 2.34 in 1960, and maximum prices of Dr. 3.60 instead of 3.50, paid to small producers. The support prices for olive oil and raisins were fixed at the same level as in 1960, whereas the world prices for tobacco and cotton are tending to rise. The index

* After the almost complete absorption of the tobacco stocks, and in view of the new export prospects resulting from Greece's association with the Common Market, the authorities have permitted an extension of some 20 per cent in the areas under tobacco.

** But do not exceed the 1958 level.

of prices to the producer established by the Agricultural Bank showed an average rise of almost 5 per cent in 1961 as compared with 1960.* In addition, the authorities adopted a series of economic and social measures considerably reinforcing aid to agriculture. For instance, a law was passed by Parliament to regulate all the social benefits granted to farmers. They will henceforth be entitled to a pension, the first payments being due on 1st July 1962; health insurance will be extended to small holders, and compulsory insurance against hail and frost will also be instituted. The annual cost of these social measures is estimated at Dr. 1,400 million, of which about half will be covered by new taxes; about a third of the total cost will be contributed by farmers and the rest drawn from normal budget resources. In addition, the authorities reduced the rate of interest on rural loans and increased the subsidies granted to growers of cotton and fodder crops.

40. The index of production in manufacturing was on average 5.3 per cent higher in 1961 than in 1960.** The very rapid advance in 1960 (about 10 per cent) slowed down for a few months after the autumn of 1960, this seems to have been due in part at least to the ending, in the middle of the year, of the period of stock rebuilding which had followed the liquidation in the previous year. The recovery of activity dates from February 1961, and the increase in farm incomes should stimulate industrial production still further in the first half of 1962. The greatest progress between 1960 and 1961 occurred in metalworking, basic metals, machinery and electrical apparatus and transport equipment. There was an advance of about 5 per cent in the textile industry, while the chemical industry showed a slight decline. The recovery which took place in 1960 in housebuilding continued in 1961.

41. The available information on the trend of employment indicates a further improvement during 1961. The number of jobs filled during the first eight months of the year, as reported by employment offices, exceeded by about 65,000 the number of dismissals, and the employment index of the Manufacturers' Association shows a rise of nearly 4 per cent between 1960 and 1961. The number of registered unemployed is tending to decline (70,000 in November 1961 compared with 84,000 in November 1960). This decline is, however, linked with the faster pace of emigration. In 1960 nearly 48,000 permanent emigrants (twice as many as in 1959) left the country; in 1961, more than 44,000 emigrated in the first nine months, as against under 33,000 in the corresponding period of 1960. The increase in emigration since 1959 is almost entirely attributable to the demand for manpower in Germany.

* The rise was, however, largely accounted for by the 1960 crop, which was marketed at the end of 1960 and the beginning of 1961.

** This index does not take account of the establishment of new undertakings, and excludes the output of oil works, which is subject to a two-year cycle.

42. Appreciable progress was made in 1960 and 1961 in carrying out major infrastructure projects and building new industrial units. In the energy sector, a new hydro-electric power station was brought into operation at Tavropos (annual production 280 million kWh), work was begun on the second thermal power station at Ptolemaïs (annual production 800 million kWh), and on the Acheloos hydro power station, with an installed capacity of 400 MW, at an estimated cost of $120 million. In the industrial field, the first sugar refinery was put into operation, and the building of a nitrogenous fertilizer plant (costing $ 51 million) was begun. The technical studies for several other important projects were completed, and decisions were taken to build, for example, an aluminium works with an annual production capacity of 52,000 tons and some large iron and steel works. A programme involving the expenditure of over $ 40 million to establish industries processing agricultural products, was also drawn up.

Prices and wages

43. The retail prices index fell by 0.7 per cent between the beginning and the end of 1961, and the wholesale price index by 3.7 per cent. Nevertheless, owing to a substantial rise in these indices towards the end of 1960 (due to the price increase for certain foodstuffs) the average level of wholesale prices in 1961 was 1.5 per cent higher than in 1960, and the average level of retail prices 1.8 per cent higher. Wages, on the other hand, seem to have risen appreciably in 1961. As from 1st September 1960, the authorities granted a 10 per cent increase in the minimum daily wage, which now stands at Dr. 52 for men and Dr. 40 for women. A large number of workers were directly affected by the rise, textile operatives especially, but it also had repercussions upon wage levels generally (the average daily wage in industry is about Dr. 75 for men and Dr. 47 for women). The authorities also decided that civil service salaries should be raised by a further 6 to 12 per cent, the largest increases being applied to the lowest salaries. This rise was spread over a year, the last instalment having been granted in December 1961.

Public finance

44. The initial budget for 1961 provided for an increase of 8 per cent in current expenditure* and an increase of 22 per cent in expenditure on investment. In the event current expenditure did not exceed the budget estimate, but the amount allocated to the investment programme was higher by Dr. 400 million. On the other hand, budget receipts as a whole (excluding foreign aid and internal loans) were definitely under-

* The increased expenditure mainly concerned civil servants' salaries and pensions, the servicing of the national debt, and sums allotted to education and other social services.

estimated, and showed an increase of some 12 per cent. As a result the surplus of resources* over current expenditure, which is used to finance budgetary investment, rose to about Dr. 2,300 million compared with 1,350 million in 1960. The overall deficit (with investment expenditure increasing by about Dr. 1,300 million) was more than 300 million higher than in 1960. The deficit was partly covered by foreign aid, which increased in 1961, and partly by internal loans (in particular the long-term loan of Dr. 750 million issued for this purpose in November 1960). The fact that receipts are higher than the forecasts is largely due to the high yield of Customs duties and to the yield of income tax. According to the 1962 budget current expenditure and investment expenditure will increase by 12 per cent, while the increase in receipts is estimated at 7.5 per cent only. In order to help finance the overall deficit, which will also be increasing, it has been decided to issue a new public loan of Dr. 990 million. External funds will have to be relied on to provide the balance of about Dr. 2,500 million required to cover the deficit which is expected.

Table 11. STATE BUDGET

In million drachmas

	1960	1961		1962
	RESULTS	BUDGET	RESULTS	BUDGET
I. Ordinary budget				
a. Revenue	15,760	16,826	17,727	19,065
of which:				
Direct taxes .	(2,650)	(2,922)	(3,217)	(3,588)
Indirect taxes	(10,922)	(11,305)	(11,992)	(12,630)
b. Expenditure ..	14,940	16,146	16,097	18,065
c. Balance	+ 820	+ 680	+1,630	+1,000
II. Investment budget				
a. Revenue	530	800	(700)	800
b. Expenditure ..	4,110	5,000	(5,400)	6,000
c. Balance	-3,580	-4,200	(-4,700)	-5,200
III. Total deficit	-2,760	-3,520	(-3,070)	-4,200

Source : Ministry of Finance.

Money and credit

45. The slackening in the rate of increase of bank deposits, already noted in 1960, became more and more pronounced up to the autumn 1961, but affected only private deposits. This less

* Including those directly allocated to investment.

favourable trend occurred at the very time when the commercial banks were progressively expanding long-term credits at the instigation of the Government. In order to restore a better balance between the various forms of savings and provide some incentive, the authorities decided in October 1961 to raise the rates of interest on time deposits (fixed at between 5.5 and 6.5 per cent), and to establish a new class of deposits subject to three months' notice, bearing interest at 5.5 per cent. These measures were accompanied by the strengthening of control over the utilisation of credits. Since October 1961, deposits have again shown a strong tendency to rise to such an extent that for the year as a whole total deposits with credit institutions increased more than in 1960. Moreover, there has been a marked increase in activity on the capital market. The index of industrial share prices, calculated on the basis 1952 = 100, rose from 209 in December 1959 to 412 in December 1960 and 518 in September 1961. In 1961, shares issued by private undertakings amounted to about Dr. 150 million. Public issues were limited to one new loan of Dr. 500 million floated by the Electricity Company, whereas in 1960 issues totalled about Dr. 1,150 million, taking the State loan into account.

46. Credits granted to the economy increased by nearly Dr. 2,500 million in the first half of 1961, compared with about Dr. 1,600 million in the corresponding period of 1960. This rapid increase was stimulated by the action of the authorities, who reduced the rates of interest on long-term credits, and also on several occasions relaxed the credit controls imposed on the commercial banks. In view of the limited increase in deposits during the early part of 1961, however, the liquid assets of the banks showed a distinct tendency to contract from the beginning of the year onwards. As a result, the commercial banks were inclined to liquidate the Treasury bonds they had bought in excess of their obligations in 1959. To check this tendency, the Monetary Commission decided to raise the banks' compulsory holdings of Treasury bonds to 18 per cent of deposits instead of 10 per cent, from 1st March 1961. This measure tended to reduce still further the banks' scope for lending. In the second half of the year the tendency was effectively reversed and the growth of credit was much slower. With the resumption of the upward trend of deposits at the end of the year, the liquidity position of the banks again improved. Between the beginning and the end of 1961 total credit outstanding rose by 13 per cent ; in 1960 the increase had been 18 per cent.

International economic relations

47. The deficit on the Greek trade balance was higher in 1961, owing to the marked increase in imports, which on a payments basis were 13 per cent more in value than in 1960. The rise was particularly large for industrial consumer goods (+ 19 per cent), and capital goods, which increased by 28 per cent.*

* Mainly transport equipment.

Meanwhile, exports rose by 12 per cent between the two years due mainly to higher sales of cotton and tobacco. There was an improvement in both supply and demand conditions, on the supply side because of the high output of cotton, tobacco and other agricultural products for export, and on the demand side because there were increases in world prices for most of the products of interest to Greece.

48. The adverse trend of the trade balance in 1961 (the deficit exceeded that of 1960 by more than $ 40 million) was almost entirely offset by the increase in net invisible earnings (+ $35 million). Merchant navy earnings were 32 per cent up on 1960, and tourist receipts 33 per cent up. As there was a larger inflow of private capital and foreign aid, the country's gold and foreign exchange reserves rose by $27 million in 1961, which compared with a $13 million increase in 1960.

49. About 40 per cent of Greece's foreign trade is with E.E.C. countries,* and it has now signed a treaty of association with those countries. The treaty was signed at the end of March, and it will take effect upon ratification by all the countries concerned. Its main provisions are :

a) Customs duties

The transitional period for the abolition of Customs duties by Greece is in principle 12 years, but for a large number of industrial products, including nearly all those manufactured in Greece, it has been fixed at 22 years. As soon as the agreement comes into force Greece will benefit from all the reductions in Customs duties between the six countries of the Community and will be able to impose new duties or provisionally increase existing ones, within certain limits, in order to protect new industries. Greece has undertaken to bring her Customs duties into line with those levied in the Community within 12 or 22 years, in accordance with the distinction referred to above, but in the case of bilateral trade, she will be able to allot tariff quotas to her trading partners to an amount equal to 10 per cent of her imports from third countries.

b) Agricultural products

In the specific cases of tobacco and raisins, the Community countries undertake to reduce their Customs duties by 50 per cent as soon as the agreement comes into force, and to abolish them completely before the end of 1967.

c) Financial aid

Greece will be granted low-interest long-term loans amounting to $ 125 million over the next five years through the European Investment Bank.

* Average percentage for the last five years.

IV. PROSPECTS AND PROBLEMS FOR THE GREEK ECONOMY

50. Two important developments, resulting from deliberate choices by the public authorities, have fixed, in broad outline, the future course of the Greek economy. The first was the establishment of the Five-year Plan 1960-64.* This permitted the fixing of specific medium-term objectives, the definition of the obstacles to development and the working out of a coherent long-term policy to deal with them. The very existence of the Plan although it is a flexible instrument capable of being modified and revised in the light of experience, constitutes a strong incentive not only to the administrative services but to the nation as a whole. The treaty of association with the E.E.C. is the second event which cannot fail to have a profound influence on the long-term development of the Greek economy. While it was formerly possible to hesitate between a closed economy and an open economy as a framework for Greece's economic development, the die is now cast for the latter solution. Greece's association with a powerful dynamic economic group holds the promise of substantial progress, but implies at the same time a considerable effort of adjustment.

Improvement of the production structure

51. The considerable progress made in agricultural production in 1961 should have dissipated any anxiety due to the stagnation of 1957-60. It is essential to maintain prosperity in agriculture, as the income of a large section of the population, proper regional development and the regular supply of raw materials for the food and textile industries depend on it. Nevertheless, it is not easy to extend agricultural markets either at home or abroad, and considerable reorientation of production and improvement of quality are clearly essential. Steps are already being taken to this end; however, a reduction in under-employment resulting from improvements in productivity will pose the problem of finding work for the manpower thus made available. Prosperity in agriculture is clearly dependent, therefore, upon the rapid expansion of activity in other sectors. Experience shows, moreover, that the more advanced the state of the national economy as a whole, the easier it is to modernise agriculture.

52. In the light of the above, the rapid industrialisation of the country is particularly urgent. The Five-year Plan sets out boldly in this direction, and the proportion of the Net Domestic Product accounted for by industry is to rise from 27 per cent in 1959 to 29.6 per cent in 1964 and 32 per cent in 1969. The advantages of industrialisation are clear: it allows rapid

* The annual rate of growth adopted in this Plan for the Gross National Product is 6 per cent for 1960-1964.

progress in output per head, leads to the creation of prosperous, rapidly growing development areas, and extends the range of products available for export. However, the success of industrialisation largely depends on the approach adopted. It cannot be confined to a few major infrastructure projects, however indispensable they may be to industrial development on a wider front. Such projects absorb a great deal of capital and usually result in the creation of only a small number of additional jobs. Industrialisation must, at the same time, penetrate widely among the small and medium-sized undertakings which alone are capable of providing a substantial increase in job opportunities and substantial assistance to the balance of payments through both increased exports and the provision of competitive import substitutes.

53. Balanced growth presupposes that the programme of expansion should also extend to other activities. New geological surveys might reveal new sources of energy (oil or gas), while the exploitation of the deposits of metallic ores already discovered might be stepped up. Services, crafts and trade already absorb a comparatively large amount of manpower. Output must be increased in these sectors in order to raise labour productivity without reducing the total number of jobs. The striking development of tourism and the merchant navy over the last few years has not only contributed to the growth in the national income, but has prevented the deficit on international payments from reaching much greater dimensions. This trend should therefore be encouraged.

Employment

54. Despite the unreliability of the statistics on underemployment, it is clear that the situation remains disquieting. Under the Plan, the number of new jobs created in the first five-year period will roughly correspond to the natural increase in the active population, and unemployment can only diminish insofar as the flow of emigration continues. As the latter increased appreciably in 1960 and 1961, the situation on the labour market distinctly improved in the course of those two years. Nevertheless, one may well ask whether in fact emigration can be constantly maintained at this level in view of its dependence on the economic situation in the receiving countries and whether there might not exist in principle an optimum level of emigration which should not be exceeded - a level beyond which further emigration losses would undermine the vigour and balance of the population.

55. To be effective any development programme will require some redistribution and above all retraining of manpower for new jobs. The educational reform adopted in 1959 has already been applied to secondary education, and should subsequently be extended to primary education. The reform of higher education, in which there are places for only a limited number of students,

is also under consideration, but no final decision has yet been reached. The development of technical education, with which the State is increasingly concerned, still seems inadequate, especially as regards full-time study. The question of the technical training of manpower is all the more important because new industries, capable of providing a comparatively large number of new jobs and also of capturing new markets abroad, generally require highly skilled personnel. The training of scientists and technicians, however, should be kept in line with the emergence of new manpower requirements in the economy, and close coordination will be required.*

56. The concentration of activity and population in the Athens region is another source of anxiety. The authorities have taken various measures to promote regional development,** but their results so far have been somewhat limited. Consequently, the authorities are now preparing more direct action in this field by strengthening the regional administrative structure and establishing economic development programmes for the main regions of the country. The programme for the Epirus region was the first to be drawn up.

Investment and internal financing

57. Any programme of expansion demands a high volume of investment, and the Plan provides for a 70 per cent increase in investment between 1959 and 1964. Thirty-five per cent of this investment will be carried out by the government. Whereas during the preceding ten years there had frequently been delays in the execution of the public investment programmes, their very satisfactory expansion in 1960 and 1961 gives ground for hoping that the Plan's objectives in this field will be easily achieved, especially if the administrative structure is further reinforced. On the other hand, the bulk of investment is still in the hands of private enterprise and the trend of such investment (if shipping is excluded) has hardly been encouraging in recent years, despite the fall in interest rates and the development of credit. The level of investment in industry remained the same between 1952 and 1960. Various measures were adopted to eliminate these shortcomings. The "Office of Industrial

* A survey is being made to estimate Greece's requirements of skilled manpower for the next fifteen years, to allow better orientation of technical training.

** Many advantages are granted to industrial undertakings setting up in the provinces :

i) Reduction of 20 to 40 per cent in turnover tax, reduction of 10 to 20 per cent in Social Security contributions, limitation of local taxes, tax exemption for purchases of machinery and component parts ;

ii) More advantageous terms for credits, special facilities for acquiring suitable sites, if need be, by expropriation ;

iii) Authority to devote 40 to 80 per cent of taxable profits, according to the locality, to build up reserves to meet future losses. Limits on depreciation rates raised by 100 per cent.

Development", which was established in 1960 to fill an obvious gap and give the initial impetus for the formation of new undertakings, has begun its activities, and these will be extended. A law was adopted in October 1961 * extending the fiscal benefits, in the form of tax rebates or other privileges, granted to private firms carrying out new investment. Direct investment by foreign firms with the guarantees provided by the 1953 law now seems likely to develop more rapidly. The cumulative effect of all these incentives to investment is beginning to make itself felt, and some recovery is now taking place. The trend should be accelerated and it is to be hoped that in preparing for their country's association with the Common Market Greek businessmen will show a new spirit of adventure.

58. Finding the necessary amount of funds, particularly if the investment targets are to be fully achieved, may present difficulties. The Plan provides for a substantial increase in internal saving, both public and private. The rise in public saving is to be achieved through the current revenue of the State increasing more rapidly than expenditure. Nevertheless, carrying out the expansion programme will clearly demand a massive increase in certain current expenditure ; in particular, education must be extended and vocational training accelerated even more than is now planned. Public saving might be adversely affected, unless the increase in revenue is really substantial. The question of taxation is even more important, however, in connection with the development of private consumption. The latter definitely tends to increase with economic expansion, and to induce a substantial rise in imports, as happened in 1961. The formation of internal savings may well feel the effects of this, and the authors of the Plan may have been too optimistic in estimating that savings would automatically remain at the same level as in recent years. It is largely due to the restoration of confidence in the currency and the reconstitution of their cash holdings by firms and individuals that the level of monetary savings has been so high. The capital market still does not appear sufficiently attractive in itself to inspire large-scale saving. On the other hand, industrial progress and the favourable prospects it opens up for firms may induce the latter to practice increased self-financing ; this process does, in fact, appear to have begun in 1961. Taxation changes to limit certain non-essential expenditure such as those applied with success in 1958 to limit sales of motor-cars and some other durable consumer goods, may have to be con-

* The law makes no distinction between foreign and domestic capital, but most of the benefits are available only to investment projects which exceed a certain minimum size and which have been approved as being "productive" by the competent ministers. It provides in particular for :

a) full exemption from all taxes and other charges levied on capital equipment used in the establishment of the plant ;

b) a substantial reduction in the fees charged for the formation of joint stock companies ;

c) the maintenance of all existing taxes and other charges at the same level for 15 years.

sidered if a further increase in consumption expenditure is to be avoided.

Balance of payments equilibrium
and international economic relations

59. The requirement for external finance is closely dependent on the proportion of investment funds supplied by internal savings. Insofar as such savings are inadequate, the execution of the expansion programme will depend on the scale of foreign aid available to Greece. Greece has already been promised some credits from official sources, such as those granted under the treaty of association with the E.E.C., while the contributions of private capital are tending to increase. In view of this favourable trend in capital movements, there is no reason to fear, at least for the moment, any major difficulties in achieving equilibrium in Greece's international payments, despite the growth of the deficit on the trade balance.*

60. This is nevertheless a problem which should receive attention, as economic equilibrium depends on a regular supply of foreign capital, and in fact on its intensification over the next few years. This dependence cannot be allowed to continue permanently and a recovery in the balance of payments must be achieved within a reasonable time, especially if the repayment of old and new credits received by Greece is not to become a burden. In this connection, although the trend of invisible earnings may appear highly satisfactory, the situation of the trade balance, and especially the stagnation of exports which has lasted for several years, must give rise to anxiety. A radical change in the pattern of Greece's foreign trade seems to be called for, and this should be encouraged by Greece's association with the Common Market. The range of exports is clearly too restricted, but its extension will itself depend on the execution of the development programme, the diversification of production and the supply of products which are sufficiently competitive in price and quality. If this hoped-for development occurs, the trade advantages granted to Greece by the E.E.C. should enable Greece to extend her market appreciably, and to increase considerably her trade with all Member countries of the O.E.C.D. As Greece has chosen, in accordance with the objectives of the Organisation, to pursue economic development within an open economy, the expansion of her foreign trade will be the proof of the success of the policy adopted.

* Under the Five-year Plan, imports and exports of goods were both to grow at an annual rate of about 8 per cent from 1959 to 1964; consequently, the trade deficit would continue to increase in absolute value, with the estimated current deficit in 1964 some $40 million above the 1959 figure. The stagnation of exports in 1960 and the rapid increase of imports in 1961 made it necessary to revise these forecasts, and despite the very favourable trend of invisible earnings, the external financing needed to ensure international payments equilibrium will probably be larger than indicated in the estimates in the Plan.

V. CONCLUSIONS

61. After the stabilization of 1952-53, the Greek economy began to grow again rapidly and in a far more balanced fashion. Up to 1957, agriculture played a decisive part in expansion, because of its direct contribution to the progress of production, its large purchases from other sectors, the improved food supplies which helped to stabilize prices, and the favourable trend of foreign trade in agricultural products. The stagnation of agriculture from 1958 to 1960, due both to bad weather conditions and to the saturation of the market for certain important products (especially wheat) and by marketing difficulties for tobacco, did not have the grave effects that might have been feared: expansion simply slowed down, and there was a recovery in 1959. Indeed, owing to the restoration of confidence in the currency and the expansion of internal savings, the State was able to finance a much larger volume of investment, and industrial production was speeded up as a result of the previous efforts of modernisation. Meanwhile, the spectacular development of tourism and activity by the merchant navy has helped both to increase the gross domestic product and to facilitate external equilibrium. With the renewed expansion of agricultural production in 1961, the short-term prospects appear favourable to expansion.

62. But while a generally favourable balance-sheet can thus be drawn up, a number of weak points persist. In the last few years, the progress of investment has been too largely dependent on direct financing by the Government. Private enterprise has been very hesitant especially in respect of industrial investment, so that industrialisation has not yet gone very deep. Regional disequilibrium has been aggravated, and despite the encouragement of the authorities, new firms established outside the Athens and Piraeus region are still the exception. Underemployment persists, and the rate at which, according to official forecasts it will be absorbed, is very slow. The stagnation of exports which lasted from 1955 to 1960 was serious, depriving the economy of an effective stimulus and delaying the fundamental recovery of the balance of payments.

63. The Greek authorities, conscious of the amount that remains to be done to ensure economic growth on satisfactory lines, have drawn up plans both for the Greek economy as a whole and for the main regions of the country. One of the O.E.C.D.'s first tasks will be to examine the forms of international cooperation which can best help Greece to achieve this development.

64. Rapid growth demands a high volume of investment, and its financing invariably raises difficult problems. Some strain began to reappear in Greece in 1961: monetary savings have grown less rapidly in the first six months of the year, private consumption expenditure is speeding up, and the trade deficit increasing.

Should such developments be intensified, the authorities would probably have to revise their economic policy. Efforts would have to be directed to achieving better internal equilibrium, whether by stimulating savings or by a further strengthening of public finance. Success in this direction will be helped by full understanding on the part of the public, of the need for further efforts, and by the conviction that any additional tax burden is fairly shared. However, in a country still in the early stages of industrialisation, the possibilities of stepping up national savings are necessarily limited. Accelerated development of the economy depends also on the contributions made available to Greece, in one form or another, from abroad.

65. International co-operation, the path deliberately chosen by Greece through its association with the European Economic Community and its participation in the O.E.C.D., has more than an exclusively financial aspect. The economic development of Member countries in course of industrialisation depends not only on the supply of capital; account has also to be taken, in the words of the O.E.C.D.'s Convention of 14th December 1960, of "the importance to their economies of receiving technical assistance and of securing expanding export markets". The Organisation is already helping with various technical assistance programmes in Greece. The existence of a national Plan and of regional programmes will make it possible to determine more precisely the fields in which such assistance is most necessary; planning itself may claim some priority in this connection. Furthermore, the necessity for Greece to extend its markets abroad is obvious. While the bilateral agreement countries have increased their purchases in Greece, the latter's sales to O.E.C.D. Member countries have declined. The assistance of all countries concerned will be necessary to correct this situation.

STATISTICAL ANNEX

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Table I. ORIGIN AND USE OF RESOURCES

	1957			1958			1959			1960		
	MILLION CURRENT DRACHMAS	CHANGES IN VOLUME AS PER CENT	CHANGES AS PRICES IN PER CENT	MILLION CURRENT DRACHMAS	CHANGES IN VOLUME AS PER CENT	CHANGES AS PRICES IN PER CENT	MILLION CURRENT DRACHMAS	CHANGES IN VOLUME AS PER CENT	CHANGES AS PRICES IN PER CENT	MILLION CURRENT DRACHMAS	CHANGES IN VOLUME AS PER CENT	CHANGES AS PRICES IN PER CENT
Gross National Product	83,826	+ 9.1	- 1.2	87,221	+ 2.9	+ 1.2	90,211	+ 3.7	- 0.3	95,783	+ 4.3	+ 1.8
Consumers' expenditure	63,864	+ 7.4	- 0.7	67,665	+ 3.0	+ 2.9	67,903	+ 1.5	- 1.2	71,999	+ 4.7	+ 1.3
Government expenditure on goods and services	10,356	+ 6.9	- 0.9	10,423	- 6.2	+ 7.2	11,615	+ 8.4	+ 2.8	12,740	+ 8.4	+ 1.2
Enterprises' gross fixed capital formation 1)	7,811	+ 1.4	+ 1.6	10,170	+29.2	+ 0.8	9,867	- 6.5	+ 3.7	10,600	+ 9.3	- 1.7
Government gross fixed capital formation	3,417	+ 2.9	+ 1.2	3,892	+16.3	- 2.1	4,759	+16.2	+ 5.2	5,940	+25.1	- 0.2
Changes in stock	2,799			630			600			- 300		
Total internal uses	88,247	+ 7.8	- 0.1	92,780	+ 3.1	+ 1.9	94,744	+ 1.9	+ 0.2	100,979	+ 4.9	+ 1.6
Export of goods and services 1) ...	12,027	+19.6	- 0.5	11,562	+ 1.2	- 5.0	11,163	+ 3.5	- 6.7	11,916	+ 8.3	- 1.5
Import of goods and services ...	16,448	+ 9.3	+ 5.2	17,121	+ 2.7	+ 1.4	15,698	- 5.7	- 2.8	17,112	+10.9	- 1.7
Surplus of exports over imports ..	- 4,421			- 5,559			- 4,533			- 5,196		

1) Excluding transfers of ships in investment and in imports :

	Transfers of ships in million drachmas			
	1957	1958	1959	1960
At current prices	1,215	2,024	3,991	7,870
At 1954 prices	907	2,374	4,866	9,500

Source : Statistical tables submitted by Greece to the O.E.C.D.

Table II. INDICES OF ACTIVITY

		1958	1959	1960	1961	1960				1961			
						1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
INDUSTRY													
Manufacturing production:													
a. Index of the Greek Manufacturers' Union .	1957 = 100	111	112	120	127	110	120	123	129	120	127	130	130
b. Index of the National Statistical Service..	1957 = 100	107	107	118	124	107	115	122	125	114	123	129	130
of which : Textile industry		...	102	115	121	107	109	116	127	120	116	120	129
Production of electricity (million kWh)	Monthly average	149	163	183	206	180	171	180	200	206	193	200	225
BUILDING													
Number of dwellings authorised (country as a whole)	Monthly average	1,975	2,018	2,197	2,160	1,586	2,446	2,596	2,103	1,669	2,531	2,862	1,760
MERCHANT NAVY													
Tonnage of the Greek Merchant Navy (thousand tons)	end of period	1,905	3,344	5,384	6,394	3,784	4,720	5,153	5,384	5,560	5,839	6,179	6,394
TOURISM													
Number of tourist arrivals in Greece (thousands)	Monthly average	23.0	28.3	33.3		14.3	41.8	56.1	20.9	19.4	46.3	74.1	
EMPLOYMENT													
Index of occupied persons in 570 industries .	1953 = 100	106	100	103	107	100	102	104	105	105	106	108	108
Number of unemployed registered in the employment agencies (thousands)	Monthly average	79.1	89.1	86.7	76	109.8	89.4	63.3	84.2	100.1	72.6	60.1	71.0
Permanent emigrants	Monthly average	2,043	1,974	3,980	4,903	1,962	3,912	5,178	4,871	3,553	5,212	5,988	4,860

Sources : Monthly Bulletin of the Greek National Statistical Service, Monthly Bulletin of the Bank of Greece and O.E.C.D. General Statistics.

Table III. PRICES

Annual average and end of quarter

		1958	1959	1960	1961	1960				1961			
						1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
General index of wholesale prices (Athens-Piraeus region)	1953 = 100	128	130	133	135	131	132	135	138	138	135	133	133
of which : Raw materials and semi-manufactured products	1953 = 100	115	114	122	123	121	123	122	122	123	126	122	121
Manufactured products	1953 = 100	132	127	130	130	128	129	130	132	131	130	130	130
Index of prices paid by farmers	1954 = 100	112	111	117	122	118	116	115	119	121	120	118	122
Index of production prices in agriculture .	1954 = 100	110	111	112	118	109	109	113	117	118	118	118	119
Index of consumer prices 1)	1953 = 100 and June 1959=100	131	134	102	104	101	102	103	105	105	104	104	103
of which : Food products	1953 = 100 and June 1959=100	123	128	102	103	99	101	103	105	107	106	103	104

1) Since 1960, new series on the basis June 1960 = 100.

Sources : Monthly Bulletin of the Greek National Statistical Service. O.E.C.D. General Statistics.

Table IV. FOREIGN TRADE

Based on Customs statistics

		1957	1958	1959	1960	1960				1961			
						1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
Imports (excluding ships)	million $	41.7	43.8	39.4	42.8	38.4	45.6	40.3	47.0	45.1	49.8	47.3	
Exports	million $	18.3	19.3	17.0	16.9	17.0	12.1	10.6	28.0	15.8	12.4	10.9	35
Trade balance	million $	-23.4	-24.5	-22.4	-25.9	-21.4	-33.5	-29.7	-19.0	-29.3	-37.4	-36.4	
Imports (including ships)	million $	43.7	47.1	47.2	58.5	50.4	59.1	63.2	61.2	54.8	57.6	56.2	69
Ships as a percentage of total imports ...	%	4.5	7.0	16.6	26.8	23.8	22.8	36.3	23.1	17.7	13.6	15.8	
Volume :													
Imports (including ships)	1953 = 100	174	203	201	260	215	259	281	278	252	259	253	310
Exports	1953 = 100	139	150	145	147	149	102	89	246	132	108	96	306
Average value :													
Imports (including ships)	1953 = 100	127	117	118	113	118	115	113	111	109	112	111	
Exports	1953 = 100	140	137	125	122	121	126	126	123	126	121	122	
Terms of trade	1953 = 100	110	117	106	108	103	109	111	111	115	108	110	

Sources : Monthly Bulletin of the Greek National Statistical Service. O.E.C.D. General Statistics.

Table V. MONEY AND CREDIT

In million drachmas

	SITUATION AT END OF 1958	VARIATIONS DURING THE PERIOD										
		1959	1960	1961	1960				1961			
					1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
A. MONEY SUPPLY AND DEPOSITS												
1. Notes in circulation outside the banks	7,448	+1,153	+1,586	+1,450	- 834	+ 502	+ 818	+1,100	- 698	+ 38	+1,002	+ 908
2. Coinage	165	+ 37	+ 117	+ 229	+ 40	+ 24	+ 20	+ 33	+ 83	+ 76	+ 32	+ 38
3. Sight deposits	3,614	+ 633	+ 774	+ 686	+ 114	+ 487	+ 313	- 140	+ 221	+ 4	+ 637	- 176
4. Total	11,227	+1,823	+2,477	+2,365	- 680	+1,013	+1,151	+ 993	- 394	+ 118	+1,871	+ 770
5. Time and savings deposits	6,980	+2,948	+2,173	+2,551	+ 843	+ 559	+ 376	+ 396	+ 557	+ 660	- 48	+1,382
6. Other deposits	4,652	+ 489	+ 761	+ 720	+ 208	+ 273	+ 394	- 115	+ 437	+ 185	+ 168	- 70
7. Foreign exchange deposits (including sight deposits)	644	+ 3	- 62	+ 198	- 35	- 24	- 7	+ 4	+ 86	+ 47	+ 48	+ 37
8. Total deposits (including sight deposits)	15,890	+4,073	+3,646	+4,155	+1,130	+1,295	+1,076	+ 145	+1,281	+ 896	+ 805	+1,173
9. of which : deposits with the commercial banks	9,391	+2,749	+2,022	+2,486	+ 666	+ 776	+ 569	+ 110	+ 571	+ 434	+ 437	+1,044
10. Total money supply and deposits	23,503	+5,263	+5,349	+5,834	+ 336	+1,821	+1,914	+1,278	+ 666	+1,010	+2,039	+2,119
B. CREDIT TO THE ECONOMY												
11. Credit financed by the Bank of Greece	8,084	+ 245	+1,080	+1,619	- 190	+ 161	- 90	+1,199	- 350	+ 987	+ 255	+ 727
12. Credit financed by the commercial banks	8,346	+ 902	+2,188	+1,415	+ 140	+ 779	+ 953	+ 316	+ 795	+ 502	+ 300	- 182
13. Credit financed by specialised institutions	4,935	+1,063	+ 812	+ 819	+ 183	+ 417	+ 126	+ 87	+ 238	+ 314	+ 196	+ 71
14. Credit financed by Government funds	599	+ 293	+ 148	- 111	+ 47	+ 50	- 8	+ 59	+ 40	- 32	- 95	- 24
15. Total credit to the economy	21,964	+2,503	+4,228	+3,742	+ 179	+1,407	+ 981	+1,661	+ 723	+1,771	+ 656	- 592
C. INTEREST RATES (end of period)												
16. Official rediscount rate [1]	11	9	6	6	9	7	7	6	6	6	6	6
17. On sight deposits	5	3	2	2	2.5	2.5	2.5	2	2	2	2	2
18. On savings deposits of less than 100,000 drachmas	8	6.5	5.5	4.5-5	5.5	5.5	4.5-5 [2]	4.5-5	4.5-5	4.5-5	4.5-5	4.5-5
19. Basic rate of interest for credit to industry	10	7-8 [3]	7-8	7-8	7-8	7-8	7-8	7-8	7-8	7-8	7-8	7-8
D. STOCK EXCHANGE (annual averages and end of quarter)												
20. Indices of prices of industrial shares	194	209	328	591	267	305	391	412	503	544	518	591

1) Rediscount rate on industrial bills.
2) 4.5 per cent for deposits with commercial banks. 4.75 per cent for deposits with the Agricultural Bank and 5 per cent for postal cheque accounts.
3) 7 per cent for long-term credit.
Source : Monthly Bulletin of the Bank of Greece.

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